

Welcome to **CU Scarborough – 404MAN** **Strategy and Segmentation**

So how do we 'Strategize'?



What are markets and market segments?

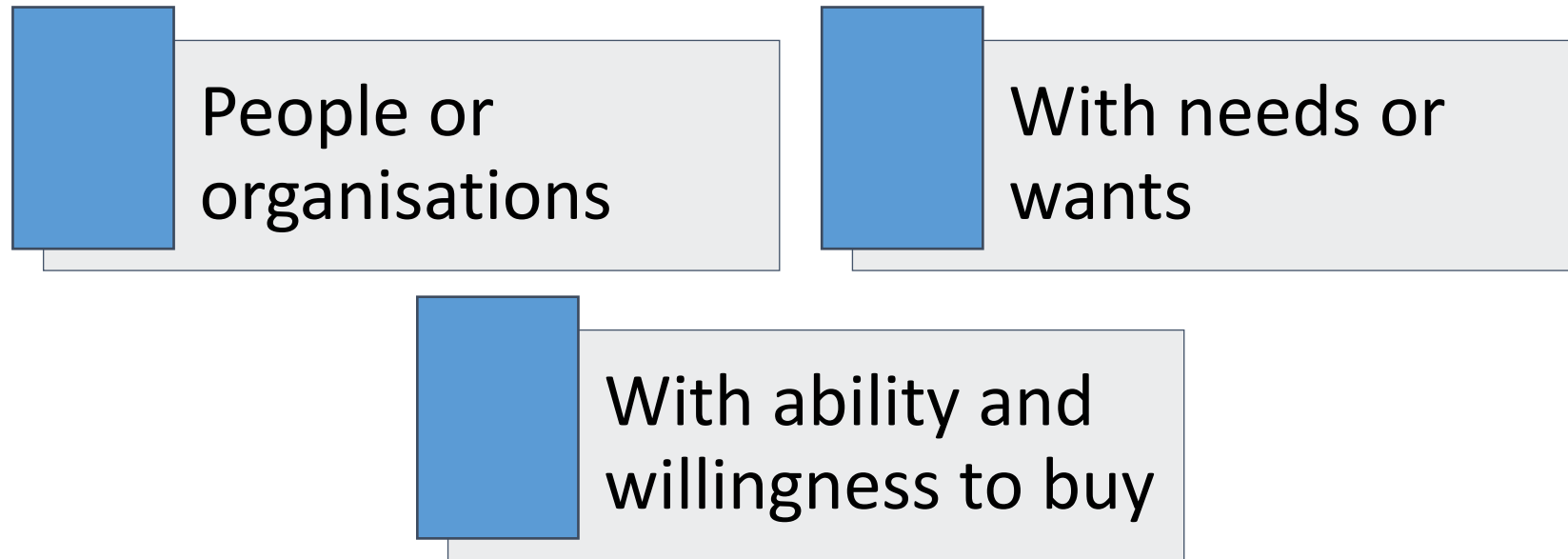


Markets

Markets are composed of people or organisations large or small with needs and wants that can be satisfied by particular product or services that are split into categories.

(Lamb *et al* 2016)

Characteristics of a market



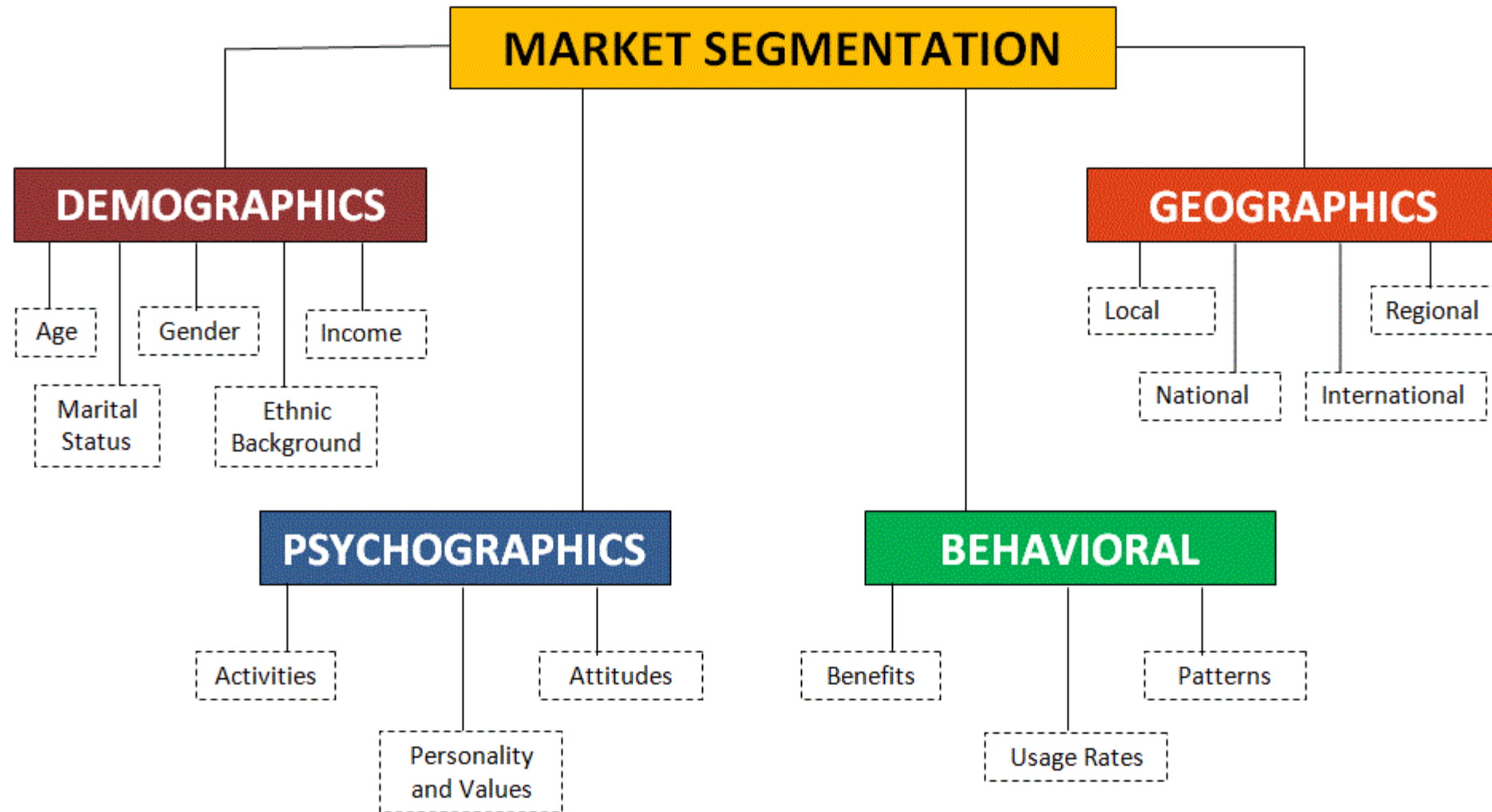
Market segment

A subgroup of people or organisations sharing one or more characteristics that cause them to have similar product needs.

The process of dividing a market into meaningful, relatively similar, identifiable segments or groups

The concept of market segmentation





Demographics: Certain products like razors, vitamins and running shoes use gender as a base for segmentation. Other demographic qualities of customers include: age, household composition, stage in the family lifecycle, education, and income. Spending is quite predictable: technology for younger people, furniture for young couples, travel and leisure for older consumers.

Ethnicity as a base for segmentation is also important due to the size of the differing ethnic populations and their purchasing power. While demographic variables are easy and clear to recognise, they sometimes tend to be simplistic stereotypes.

Psychographics: VALS (values and lifestyles) is a popular tool for segmenting using psychographic data. It uses the idea that the attitudes the people hold, and their value systems determine their inclinations toward certain product categories and brands. For example, “strivers” are individuals who are trendy and fashionable, and are often impulsive buyers. VALS also segments people based on three motivations: ideals, achievement, and self-expression.

Behavioural differentiations are also used to segment customers. The behavioural segment of the “current user” is very important to the marketer because it is relatively easy to communicate with them. Marketers also obtain information on, and woo customers who are currently using a competitor’s brand, or who are not purchasers in the category altogether. They also look at co-purchasing behaviour to better market their products.

Geographic segmentation recognises country-by-country differences and cultural differences. When geographic and demographic information are combined, the segmentation schemes become even smarter. PRIZM is a service that attempts to combine geographic and demographic (geodemographic) information.

Benefits of segmentation

- Helps marketers provide variety of product needs and preferences
- Helps define better customer needs
- Helps set objectives and allocate resources for marketing efforts accurately

Risks of segmentation

- Inaccurate process of segmentation e.g. how it's done and on what bases
- Market fragmentation due to breaking of large markets into too many small segments
- Customer confusion due to competition from other brands

Read me...

- Reading the article above to better understand how segmentation can help an organisation improve its bottom line – pick a local limited company and analyse its current marketing, tell me who its target market(s) appear to be (is it random?!) and then use segmentation to profile their customers.



Create a poster

- Your product is a carrot
- Produce a poster on the paper provided that is eye-catching and communicates its value to customers within its target segments



The Marketing Mix is.....

“The set of controllable tactical marketing tools – product, price, place, and promotion – that the firm blends to produce the response it wants in the target market”.

Kotler and Armstrong (2016)

Elements of the Marketing Mix

The controllable elements of the marketing programme for **physical goods** are known as the **4ps**

- Product
- Price
- Place
- Promotion

4Ps
MARKETING MIX

The extended Marketing Mix

- The marketing mix for a **service offer** or a combination *physical good and service* is known as the **extended marketing mix** also known as the **7ps**. They include the **4ps** and the extra **3ps**

Product
Price
Place
Promotion

- **People**
- **Processes**
- **Physical evidence**

Elements of the Marketing Mix



(Adapted from Kotler and Armstrong 2016)

Types of Product

- Staple products
- Impulse products
- Emergency products
- Convenience products
- Unsought products

Kotler et al 2017 p229

Specialty Products

These are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort. Such as; Mercedes Car, High priced watch, etc.

Shopping Products

The products which are purchased by customers on the basis of pre-planning. Shopping products are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price and style.

How are these different from Impulse buys?

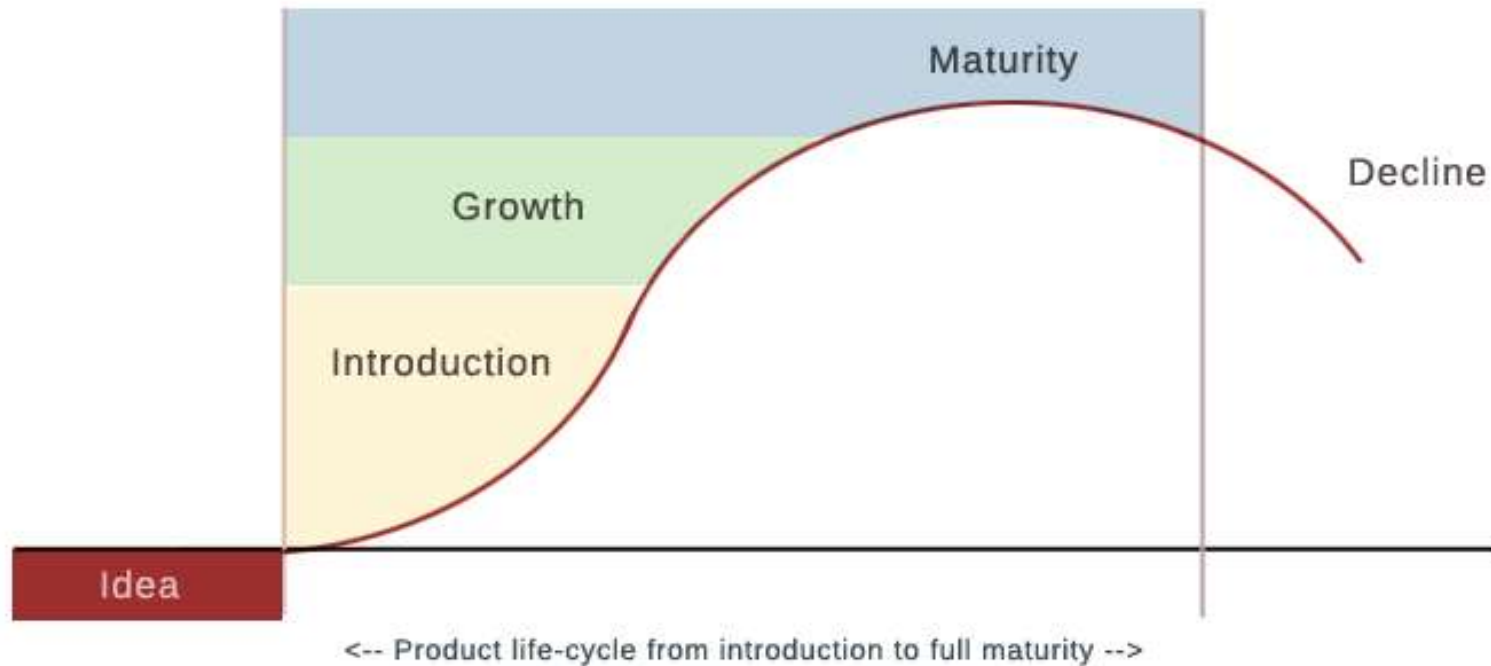
Product

- What's the U.S.P (Unique Selling Point)?
- Methods used to improve/differentiate the product and increase sales or target sales more effectively to gain a competitive advantage e.g.
 - Extension strategies
 - Specialised versions
 - New editions
 - Improvements – real or otherwise!
 - Changed packaging

Product Extension Strategies

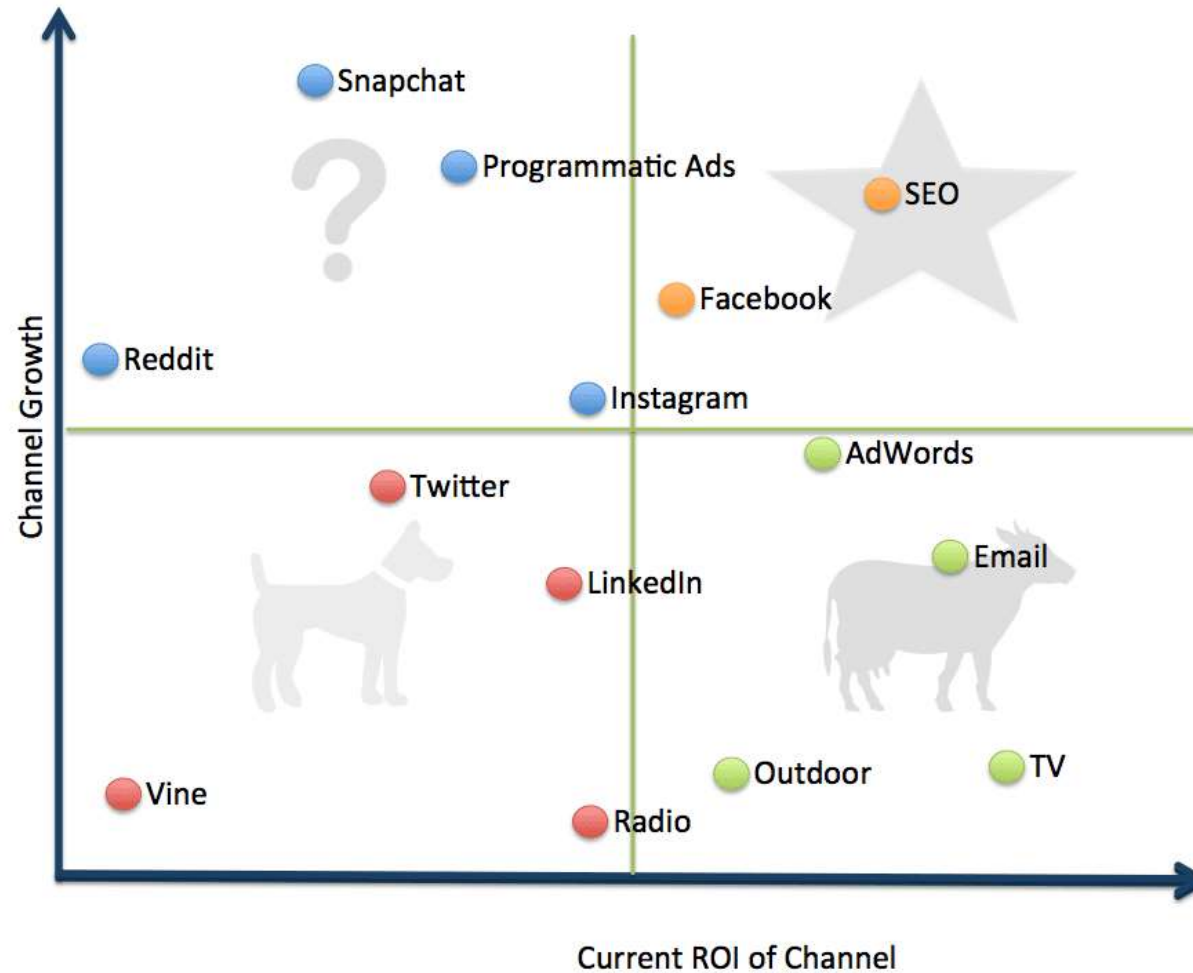
- Finding new users
- Finding new markets
- Targeting a specific market with promotion
- Changing the appearance or format of a product
- Encouraging people to use the product more often

Product Life Cycle



Developed Raymond Vernon c. 1999

Where in the product life cycle am I?



BCG Matrix late 60's



PRODUCT LIFE CYCLE

APPLE IPHONE & COCA COLA EXAMPLE

Stars (high share and high growth)

- Star products all have rapid growth and dominant market share. This means that star products can be seen as market leading products. These products will need a lot of investment to retain their position, to support further growth as well as to maintain its lead over competing products.
- Star products will also be generating a lot of income due to the strength they have in the market. The main problem for product portfolio managers is to judge whether the market is going to continue to grow or whether it will go down. Star product can become Cash Cows as the market growth starts to decline if they keep their high market share.

Cash Cows (high share, low growth)

- Cash cows don't need the same level of support as before. This is due to less competitive pressures with a low growth market and they usually enjoy a dominant position that has been generated from economies of scale. Cash cows are still generating a significant level of income but is not costing the organisation much to maintain. These products can be “milked” to fund Star products

Dogs (low share, low growth)

- Product classified as dogs always have a weak market share in a low growth market. These products are very likely making a loss or a very low profit at best. These products can be a big drain on management time and resources. The question for managers are whether the investment currently being spent on keeping these products alive, could be spent on making something that would be more profitable. The answer to this question is usually yes.

Problem Child/Question Mark (low share, high growth)

- Also sometime referred to as Question Marks, these products prove to be tricky ones for product managers. These products are in a high growth market but does not seem to have a high share of the market. The could be reason for this such as a very new product to the market. If this is not the case, then some questions need to be asked. What is the organisation doing wrong? What is competitors doing right? It could be that these products just need more investment behind them to become Stars.

Price

Price is the amount of money customers must pay to obtain the product.

Price

Price will not be determined by just demand and supply.

So what are the factors that will alter price?

- Brand name (external factor)
- Competitor's price (External factor)
- Cost of production (internal factor)
- Willingness of the consumer to pay for a product or service

Why should a company adopt pricing strategies?

- Breaking into a market
- Make profits
- Increasing market share
- Demand
- Supply

Task - Pricing Strategies

Using your best fact finding skills.

List me some basic pricing strategies!



Customer Lifetime Value and Equity

Customer lifetime value versus the cost to acquire.

Consider how you spend your money? Who are you brand loyal towards?

1 Costa a day £3.80 over 4 blocks over 3 years.
£1,368.00 = you're worth investing in.

Place

- The means by which products and services get from producer to consumer and where they can be accessed by the consumer
 - The more places to buy the product and the easier it is made to buy it, the better for the business (and the consumer?)
 - How has technology changed a customers expectations?

Place

- Place includes company activities that make the product available to target consumers.



Promotion

Promotion means activities that communicate the merits of the product and persuade target customers to buy it.

The **Promotional Mix** consists of the promotion tools used to engage consumers and persuasively communicate with customer value and build customer relationships.

(Kotler et al, 2017, p408)

Promotional Tools

- Advertising
- Sales Promotion
- Personal Selling
- Public Relations
- Direct and digital Marketing

In groups, list promotional tools under each heading.

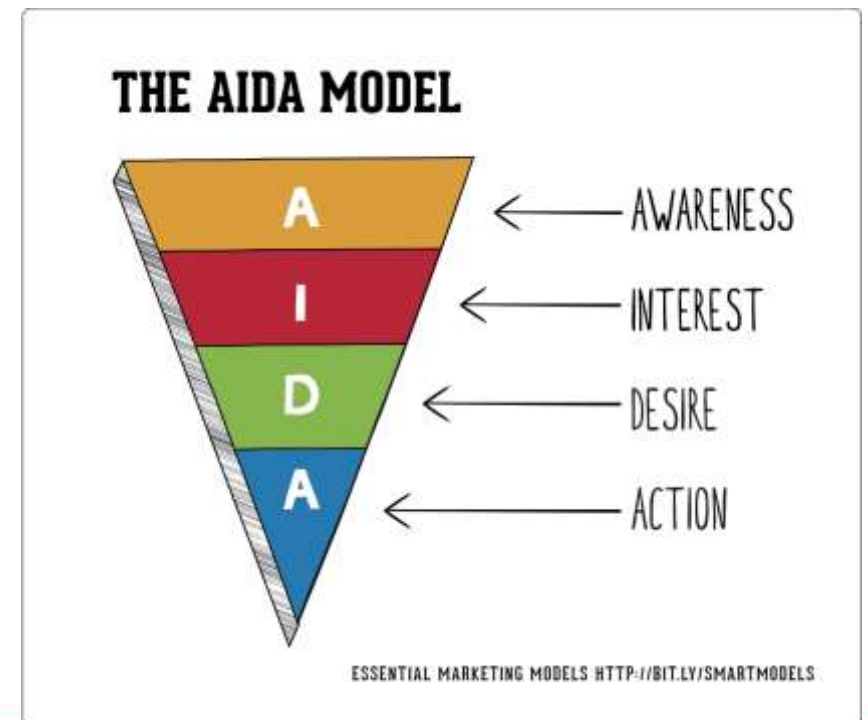
(Kotler et al, 2017, p409)

AIDA — Attention, Interest, Desire, Action

Attention/Attract

Grab people's attention. Use a picture and/or effective and persuasive words to make them stop and read what you have to say next.

- Unexpected
- Shock factor
- Personalisation



INTEREST

- Keep engaged.
- Focus on the customer need
- Pick out the relevant message
- Use bullet points and sub headings to highlight
- Entertaining and memorable
- No heavy text

DESIRE

- Build more interest
- Appeal to customer needs and wants including 'higher' needs - self esteem/status.
- Clearly explain the benefits – what's in it for them
- Relevant and irresistible
- Layer on the fact - different benefits – different situations

ACTION

- Be clear about what you want them to do next.
- Closing the sale with an amazing offer
- Call to action
- E.g. visit the website/shop to book tickets/for information
- If no sale - leave a lasting and positive impression

People

- People decisions refer to all the decisions about people directly or indirectly involved in the consumption of a service, e.g. employees or other consumers.

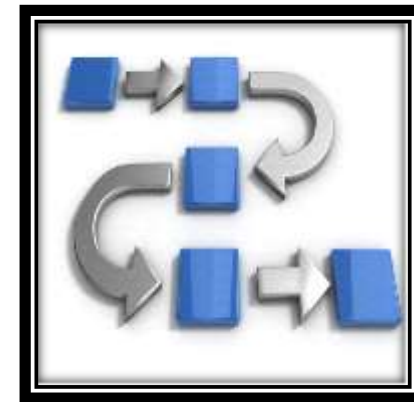
For services marketing people are:

- The service offer
- The service interface
- Link between the service provider and consumer



Processes

- Processes are the procedures, mechanisms and flow of activities by which the service is delivered i.e. the service delivery and operating systems.



Physical Environment

- The ambience, mood or physical presentation of the environment
 - Smart/shabby?
 - Trendy/retro/modern/old fashioned?
 - Light/dark/bright/subdued?
 - Romantic/chic/loud?
 - Clean/dirty/unkempt/neat?
 - Music?
 - Smell?

The 7p's extended marketing mix

- **Product:** the good or service that the customer buys
- **Price:** how much the customer pays for the product
- **Place:** how the product is distributed to the customer
- **Promotion:** how the customer is found & persuaded to buy
- **People:** the people who make contact with customers in delivering the product
- **Process:** the systems and processes that deliver a product to a customer
- **Physical:** the elements of the physical environment the customer experiences

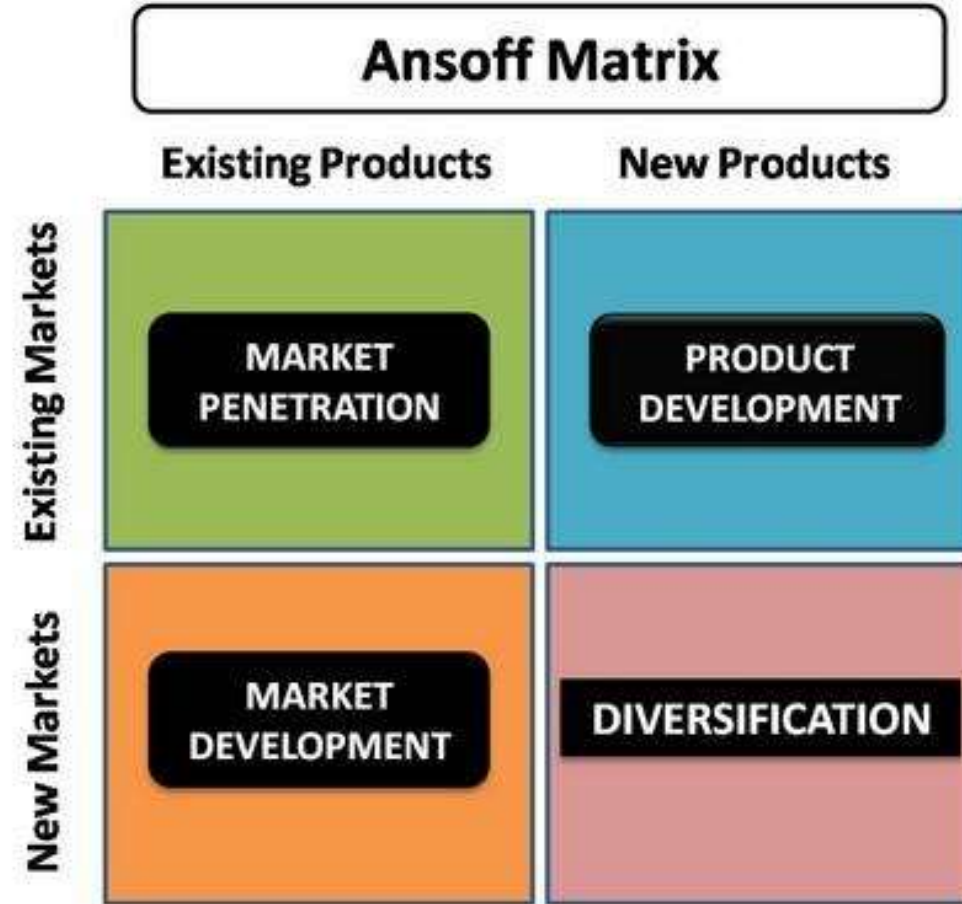
The Marketing Mix

Blend of the mix depends upon:

- Marketing objectives
- Type of product
- Target market
- Market structure
- Rivals' behaviour
- Global issues – culture/religion, etc.
- Marketing position
- Product portfolio
 - Product lifecycle
 - Boston Matrix

Ansoff Matrix

- The Ansoff matrix was created by Igor Ansoff in 1965



Market Penetration

- This strategy focuses on increasing the volume of sales of existing products to the organisation's existing market.
- Questions asked:
 - •How can we defend our market share?
 - •How can we grow our market?

Product Development

- This strategy focuses on reaching the existing market with new products.
- Questions asked:
 - How can we expand our product portfolio by modifying or creating products?

Market Development

- This strategy focuses on reaching new markets with existing products in the portfolio.
- Questions asked:
 - •How can we extend our market?
 - •Through new market sectors?
 - •Through new geographical areas?

Diversification

- This strategy focuses on reaching new markets with new products. Diversification can be either related or unrelated.
- Related Diversification: The organisation stays within a market they have familiarity with.
- Unrelated Diversification: The organisation moves into a market or industry they have no experience with. This is considered a high risk strategy.